

MONEY MATTERS



With the cost of management courses touching the sky, cobbling resources has become crucial for students. While plenty of banks provide education loans at concessional rates, students need to do extensive research to ensure they get the best deal. Look out for stiff upper limits and collateral requirements before you take the plunge.

■ By Tanvi Saraf

It's no secret that studying management means shelling out big bucks. Be it in India or abroad, a management degree can burn a sizeable hole in one's pocket. Seeking an education loan is the only alternative for most students opting for this stream. Because of the good job prospects and little risk in recovery, most government banks readily provide assistance in the form of subsidised loans.

Says Rajnish Arora, manager, credit, Bank of Baroda, "The interest rates for education loans are distinctly lower than those for personal loans and the amount is not compounded for the education period, which means that the recovery of loan starts after the studies are over. Students are also entitled to tax benefits." But getting these loans can also be a daunting task. Most banks insist on heavy collaterals and refuse to part with the

money if there are no property papers which they can keep as surety. Excessive documentation and stiff upper limit to loan amounts are also some roadblocks that students often face.

Getting around the obstacles entails detailed research into what different banks offer. Add-ons like subsidised interest rates for girl students and incentives for timely payment should be looked into to ensure that one gets the best deal.

STATE BANK OF INDIA

Eligibility: The applicant should be an Indian national and should have secured admission in a course that has good employment prospects.

Expenses Covered: Include tuition fee, airfare, books, computer and even a two-wheeler costing up to Rs 50,000.

Upper Limit: The bank provides a loan of up to Rs 10 lakh. This is subject to a 5 per cent margin—which the students have to finance themselves—for a loan of over Rs 4 lakh. For studies abroad, the maximum loan amount is Rs 20 lakh and a margin of 15 per cent is required if the loan amount exceeds Rs 4 lakh.

Rate of Interest: The interest rate is 12.75 per cent for loans of less than Rs

4 lakh and 13.75 per cent for any amount above it.

Repayment Period: The student needs to start repaying the loan amount one year after the completion of the course, or six months after finding a job, whichever is earlier. Loans of less than Rs 7.5 lakh have to be paid back within five-seven years, and those exceeding that amount have to be repaid in five-ten years.

Security: No security is required for a loan less than Rs 4 lakh. For Rs 4–Rs 7.5 lakh, a third party guarantee is required, and for Rs 7.5 lakh and above, the student needs to give collateral for the full value of the loan.

